Deutsche Bank
Research

Rating
Buy

North America
United States

TMT
Internet

Company
Meta

Reuters	Bloomberg	Exchange	Ticker
META.OQ	META US	NAS	META

Date
29 January 2026

Forecast Change

Price at 28 Jan 2026 (USD)	668.73
Price target	920.00
52-week range	790.00 - 22.30

All Systems Go

Valuation & Risks

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It is becoming increasingly clear that Meta's investments in AI are yielding ever increasing returns for advertisers, which in turn is supporting not only top-line durability, but in fact advertising revenue growth acceleration. Of course, concerns around expenses (both capex and opex) were weighing on sentiment, and although both came in above expectations, guidance for y/y GAAP OI growth in 2026 implies meaningfully higher revenue growth vs. current Street (and most buyside) estimates. In fact, assuming the high end of operating expenses, this implies that revenue growth in 2026 would be at least 21-24% y/y FXN for GAAP operating profit to just remain unchanged y/y. More near-term, 1Q26 revenue guidance implies ~700bps of y/y growth acceleration at the top end of the guide FXN, highlighting the potency of AI driven ad performance enhancements, scaling engagement tailwinds, alongside a favorable macro environment.

And while expenses were guided higher than expected, we note that Meta is increasingly demonstrating that revenue strength is offering significant returns to support elevated investments in both the core advertising platform and also the growing longer-dated AI ambitions.

In our view, the big picture here is that **Meta (1) made the necessary investments to support continued user engagement growth at scale, (2) has created the most durable advertising platform across the group, and (3) is leaning in to foundational AI model training work, which is unlocking new vertically integrated opportunities across large TAMs including business messaging, Meta AI (potentially Search Advertising), scaled wearables, with 2026 even shaping up to be a year of ramped product releases including an array of new AI model launches.** Beyond the output of MSL, we note the company is now 1) leaning into integrating LLMs into recommendations models, which initially should support enhanced personalization and therefore monetization, 2) seeing meaningful productivity gains as engineers increasingly leverage AI-tools within their coding work flow, which over time should support greater output per employee. Turning to Reality Labs, after 5 years of increasing operating losses, the OI drag in FY26 is expected to be stable with FY25 levels and ultimately moderate from FY27 onwards, as the focus pivots to wearables, and production scale drives efficiencies and higher margin revenue.

Of course, the overall scale of Meta's ambitions is vast, and requires significant investments that have a longer-dated payback horizon. That said, we contend that

Key changes

TP	880.00 to 920.00	↑	4.5%
EPS (USD)	29.82 to 30.49	↑	2.3%
Revenue (USDm)	237,022.8 to 253,335.7	↑	6.9%
GAAP EPS	29.82 to 30.49	↑	2.3%

Source: Deutsche Bank

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these capital investments are also having strong returns in terms of engagement and ad performance, which is translating to Meta's current durable advertising revenue growth, while simultaneously affording Meta the ability to potentially be a leading player in both hardware and AI advances. **Given this mix of near-term tailwinds, alongside longer-term strategic advances (with ample greenfield opportunities), we contend that Meta deserves a valuation multiple at least on par with the market, if not higher.**

As such, we maintain our Buy Rating and are raising our target price to $920 from $880, which is based on a 27x P/E multiple (unchanged) on our GAAP EPS estimate of $34.64 in FY27.

Outlook

META highlighted expectations for OI to increase y/y in absolute terms in FY26, despite guiding to opex of $162-$169bn for the year, up 38-44% y/y; as expected, the largest driver of the costs is infrastructure, including public cloud, depreciation, and higher operating expenses, followed by higher employee-related costs. The OI outlook implies revenue of at least $245-$252bn, or a floor of +21-24% y/y FXN, signifying an acceleration over FY25 (at 22.4% FXN) at the mid-point. If OI increases in absolute terms (which we currently model), then revenue growth should be even faster. We are projecting total revenue of $253bn in FY26, up 26% y/y (including FX tailwinds, esp. in 1H26), and up from $237bn previously versus Street at $236bn before the print. We expect OI to increase modestly y/y to $88bn from $83bn in FY25, which is above our prior estimate of $85bn and the Street, pre-print, at $86bn. For the year, the company expects capex of $115-$135bn, which is largely devoted to capacity that would be coming online in FY27 and beyond. At that point, we do not discount the possibility that increased depreciation from new owned and operated capacity, could be somewhat offset by more muted public cloud expenses, which appear to be stop-gap to support near-term capacity constraints.

For 1Q26, we expect revenue at $55.4bn, up ~31% y/y, in line with the guide of $53.5-$56.5bn which includes FX benefit of ~400bps. META noted that this also includes the potential impact of the less personalized ads they plan to roll out in the EU in the coming weeks.

Figure 1: 4Q25 Actuals Versus Estimates

4Q25A - Actuals Versus Estimates

(In Millions, Unless otherwise stated)	Actual Reported	DB Est. (DBe)	Actual vs. DBe	Street Estimate	Actual vs. Street	4Q24A	y/y ciange	3Q25A	q/q ciange
Total Revenue	**$59,893**	$59,015	1.5%	**$58,416**	2.5%	**$48,385**	23.8%	**$51,242**	16.9%
Guidance		**$56bn - $59bn for the Quarter**							
Family of Apps	$58,938	$58,335	1.0%	$57,474	2.5%	$47,302	24.6%	$50,772	16.1%
Advertising	$58,137	$57,505	1.1%	$56,787	2.4%	$46,783	24.3%	$50,082	16.1%
Other	$801	$830	(3.5)%	$719	11.4%	$519	54.3%	$690	16.1%
Reality Labs	$955	$680	40.4%	$954	0.1%	$1,083	(11.8)%	$470	103.2%
Impressions Growth y/y	17.1%	11.1%	+596 bps	12.2%	+487 bps	6.3%	+1074 bps	14.3%	+276 bps
Price Per Impression y/y	6.1%	10.6%	(447) bps	9.1%	(292) bps	13.7%	(752) bps	9.8%	(369) bps
GAAP Cost of Revenue	$10,905	$11,566	(5.7)%	$11,001	(0.9)%	$8,839	23.4%	$9,206	18.5%
GAAP Op expenses	$24,243	$22,861	6.0%	$23,367	3.7%	$16,181	49.8%	$21,501	12.8%
GAAP Total Costs/Expenses	**$35,148**	**$34,427**	2.1%	**$34,368**	2.3%	**$25,020**	40.5%	**$30,707**	14.5%
Guidance		**$116bn - $118bn for the Year**							
Operating Income	**$24,745**	**$24,589**	0.6%	**$23,948**	3.3%	**$23,365**	5.9%	**$20,535**	20.5%
Family of Apps	$30,766	$30,565	0.7%	$29,948	2.7%	$28,332	8.6%	$24,967	23.2%
Reality Labs	$(6,021)	$(5,977)	NM	$(5,760)	NM	$(4,967)	NM	$(4,432)	NM
OI Margin	41.3%	41.7%	(35) bps	41.0%	+32 bps	48.3%	(697) bps	40.1%	+124 bps
Family of Apps	52.2%	52.4%	(20) bps	52.1%	+9 bps	59.9%	(770) bps	49.2%	+303 bps
Reality Labs	(630.5)%	(878.8)%		(603.8)%		(458.6)%		(943.0)%	
Net Income	**$22,768**	**$21,750**	4.7%	**$21,133**	7.7%	**$20,838**	9.3%	**$2,709**	740.5%
Net Income Margin	38.0%	36.9%		36.2%		43.1%		5.3%	
Diluted EPS	**$8.88**	**$8.45**	5.0%	**$8.19**	8.4%	**$8.02**	10.7%	**$1.05**	742.8%
Capex	**$22,137**					**$14,836**	49.2%	**$19,374**	14.3%
Purciases of PP&E	$21,383	$20,916	2.2%	$21,973	(2.7)%	$14,425	48.2%	$18,829	13.6%
Prin. Payments on Cap leases	$754					$411	83.5%	$545	38.3%
Guidance									
Free Cash Flow (FCF)	**$14,077**	**$13,202**	6.6%	**$12,456**	13.0%	**$13,152**	7.0%	**$10,625**	32.5%
FCF Margins	23.5%	22.4%		21.3%	+218 bps	27.2%		20.7%	+277 bps

Source : Company documents; Bloomberg Finance LP; Deutsche Bank estimates

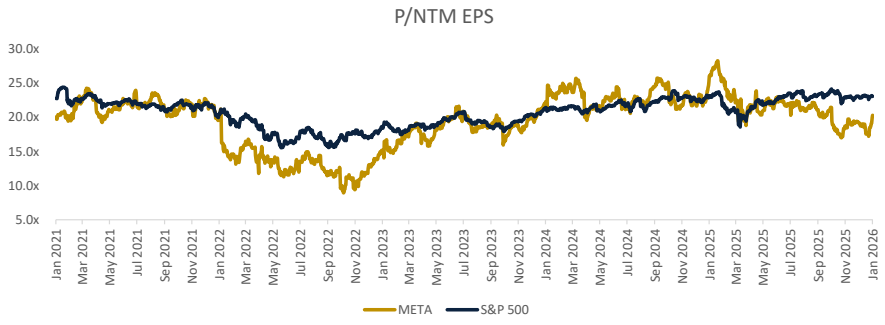
Figure 2: Estimate changes

Estimate Revisions (In Millions, Unless otherwise stated)	1Q26E DB Est. (DBe) Current	1Q26E DB Est. (DBe) Previous	1Q26E DB Est. (DBe) change	1Q26E Street Estimate	1Q26E DBe vs St.	1Q25A	1Q26E y/y ciange	2Q26E DB Est. (DBe) Current	2Q26E DB Est. (DBe) Previous	2Q26E DB Est. (DBe) change	2Q26E Street Estimate	2Q26E DBe vs St.	2Q25A	2Q26E y/y ciange
Total Revenue	**$55,372**	$51,889	6.7%	**$51,267**	8.0%	**$42,314**	30.9%	**$60,394**	$56,244	7.4%	**$56,434**	7.0%	**$47,516**	27.1%
Guidance		**$53.5bn - $56.5bn for the Quarter**												
Family of Apps	$54,878	$51,394	6.8%	$51,569	6.4%	$41,902	31.0%	$59,950	$55,800	7.4%	$56,555	6.0%	$47,146	27.2%
Advertising	$54,062	$50,578	6.9%	$50,930	6.1%	$41,392	30.6%	$58,988	$54,838	7.6%	$55,836	5.6%	$46,563	26.7%
Other	$816	$816	---	$690	18.2%	$510	60.0%	$962	$962	---	$772	24.6%	$583	65.0%
Reality Labs	$494	$494	---	$483	2.3%	$412	20.0%	$444	$444	---	$456	(2.5)%	$370	20.0%
Impressions Growth y/y	18.4%	11.3%	+719 bps	12.6%	+582 bps	5.5%	+1299 bps	14.8%	7.4%	+747 bps	11.0%	+388 bps	10.8%	+407 bps
Price Per Impression y/y	10.3%	9.8%	+44 bps	9.2%	+103 bps	10.2%	+12 bps	10.3%	9.7%	+62 bps	8.4%	+196 bps	9.7%	+64 bps
GAAP Cost of Revenue	$10,461	$10,410	0.5%	$10,326	1.3%	$7,572	38.2%	$11,662	$11,468	1.7%	$11,326	3.0%	$8,491	37.3%
GAAP Op expenses	$24,621	$22,222	10.8%	$23,819	3.4%	$17,187	43.3%	$26,352	$23,905	10.2%	$25,368	3.9%	$18,584	41.8%
GAAP Total Costs/Expenses	**$35,082**	$32,632	7.5%	**$34,146**	2.7%	**$24,759**	41.7%	**$38,015**	$35,373	7.5%	**$36,694**	3.6%	**$27,075**	40.4%
Guidance		**$162bn - $169bn for the Year**												
Operating Income	**$20,290**	$19,256	5.4%	**$18,494**	9.7%	**$17,555**	15.6%	**$22,379**	$20,871	7.2%	**$20,762**	7.8%	**$20,441**	9.5%
Family of Apps	$23,703	$24,126	(1.8)%	$23,615	0.4%	$21,765	8.9%	$26,507	$26,765	(1.0)%	$26,380	0.5%	$24,971	6.2%
Reality Labs	$(3,413)	$(4,869)	NM	$(5,183)	NM	$(4,210)	NM	$(4,128)	$(5,894)	NM	$(5,535)	NM	$(4,530)	NM
OI Margin	36.6%	37.1%	(47) bps	36.1%	+57 bps	41.5%	(484) bps	37.1%	37.1%	(5) bps	36.8%	+27 bps	43.0%	(596) bps
Family of Apps	43.2%	46.9%	(375) bps	45.8%	(260) bps	51.9%	(875) bps	44.2%	48.0%	(375) bps	46.6%	(243) bps	53.0%	(875) bps
Reality Labs	(690.4)%	(984.9)%		(1072.8)%		(1021.8)%		(929.7)%	(1327.4)%		(1215.1)%		(1224.3)%	
Net Income	**$18,197**	$17,466	4.2%	**$16,424**	10.8%	**$16,644**	9.3%	**$20,030**	$18,839	6.3%	**$18,237**	9.8%	**$18,337**	9.2%
Net Income Margin	32.9%	33.7%	(80) bps	32.0%	+83 bps	39.3%	(647) bps	33.2%	33.5%	(33) bps	32.3%	+85 bps	38.6%	(543) bps
Diluted EPS	**$7.07**	$6.79	4.0%	**$6.42**	10.1%	**$6.43**	10.0%	**$7.75**	$7.33	5.7%	**$7.14**	8.6%	**$7.14**	8.6%
Capex	**$24,794**					**$13,692**	81.1%	**$28,939**					**$17,012**	70.1%
Purciases of PP&E	$23,941	$23,941	---	$24,609	(2.7)%	$12,941	85.0%	$28,115	$28,115	---	$27,567	2.0%	$16,538	70.0%
Prin. Payments on Cap leases	$853					$751	13.6%	$824					$474	73.9%
Guidance		**$115bn - $130bn for the Year**												
Free Cash Flow (FCF)	**$6,354**	$4,561	39.3%	**$3,290**	93.1%	**$10,334**	(38.5)%	**$3,702**	$2,940	25.9%	**$3,151**	17.5%	**$8,549**	(56.7)%
FCF Margins	11.5%	8.8%		6.4%	+506 bps	24.4%		6.1%	5.2%		5.6%	+55 bps	18.0%	

	FY2026E DB Est. (DBe) Current	FY2026E DB Est. (DBe) Previous	FY2026E DB Est. (DBe) change	FY2026E Street Estimate	FY2026E DBe vs St.	FY2025A	FY2026E y/y ciange	FY2027E DB Est. (DBe) Current	FY2027E DB Est. (DBe) Previous	FY2027E DB Est. (DBe) change	FY2027E Street Estimate	FY2027E DBe vs St.	FY2026E	FY2027E y/y ciange
Total Revenue	**$253,336**	$237,023	6.9%	**$237,164**	6.8%	**$200,965**	26.1%	**$295,261**	$274,682	7.5%	**$277,371**	6.4%	**$253,336**	16.5%
Guidance														
Family of Apps	$250,616	$234,647	6.8%	$235,813	6.3%	$198,758	26.1%	$291,726	$271,593	7.4%	$275,444	5.9%	$250,616	16.4%
Advertising	$246,493	$230,478	6.9%	$232,802	5.9%	$196,174	25.6%	$285,885	$265,691	7.6%	$271,351	5.4%	$246,493	16.0%
Other	$4,124	$4,169	(1.1)%	$3,293	25.2%	$2,584	59.6%	$5,841	$5,902	(1.0)%	$4,100	42.5%	$4,124	41.6%
Reality Labs	$2,720	$2,376	14.5%	$2,733	(0.5)%	$2,207	23.2%	$3,536	$3,089	14.5%	$3,605	(1.9)%	$2,720	30.0%
Impressions Growth y/y	13.5%	7.9%	+565 bps	10.9%	+261 bps	11.8%	+175 bps	6.1%	5.9%	+17 bps	8.7%	(266) bps	13.5%	(746) bps
Price Per Impression y/y	10.7%	9.2%	+142 bps	8.8%	+189 bps	9.2%	+142 bps	9.3%	8.9%	+48 bps	6.9%	+240 bps	10.7%	(133) bps
GAAP Cost of Revenue	$49,504	$49,208	0.6%	$47,848	3.5%	$36,174	36.9%	$62,078	$61,239	1.4%	$58,709	5.7%	$49,504	25.4%
GAAP Op expenses	$115,687	$102,778	12.6%	$105,692	9.5%	$81,515	41.9%	$132,765	$117,642	12.9%	$122,064	8.8%	$115,687	14.8%
GAAP Total Costs/Expenses	**$165,191**	$151,986	8.7%	**$153,541**	7.6%	**$117,689**	40.4%	**$194,843**	$178,881	8.9%	**$180,772**	7.8%	**$165,191**	18.0%
Guidance		**$162bn - $169bn for the Year**												
Operating Income	**$88,144**	$85,037	3.7%	**$86,489**	1.9%	**$83,276**	5.8%	**$100,418**	$95,801	4.8%	**$99,726**	0.7%	**$88,144**	13.9%
Family of Apps	$107,280	$109,387	(1.9)%	$109,424	(2.0)%	$102,469	4.7%	$117,584	$115,747	1.6%	$124,172	(5.3)%	$107,280	9.6%
Reality Labs	$(19,135)	$(24,350)	NM	$(23,527)	NM	$(19,193)	NM	$(17,166)	$(19,947)	NM	$(23,835)	NM	$(19,135)	NM
OI Margin	34.8%	35.9%	(108) bps	36.5%	(167) bps	41.4%	(664) bps	34.0%	34.9%	(87) bps	36.0%	(194) bps	34.8%	(78) bps
Family of Apps	42.8%	46.6%	(381) bps	46.4%	(360) bps	51.6%	(875) bps	40.3%	42.6%	(231) bps	45.1%	(477) bps	42.8%	(250) bps
Reality Labs	(703.6)%	(1024.9)%		(860.8)%		(869.6)%		(485.5)%	(645.8)%		(661.2)%		(703.6)%	
Net Income	**$78,960**	$76,553	3.1%	**$76,049**	3.8%	**$60,458**	30.6%	**$90,633**	$85,011	6.6%	**$86,183**	5.2%	**$78,960**	14.8%
Net Income Margin	31.2%	32.3%	(113) bps	32.1%	(90) bps	30.1%	+108 bps	30.7%	30.9%	(25) bps	31.1%	(38) bps	31.2%	(47) bps
Diluted EPS	**$30.49**	$29.82	2.3%	**$34.11**	(10.6)%	**$23.49**	29.8%	**$34.64**	$33.22	4.3%	**$33.85**	2.3%	**$30.49**	13.6%
Capex	**$123,659**					**$72,215**	71.2%	**$135,283**					**$123,659**	9.4%
Purciases of PP&E	$120,416	$119,622	0.7%	$112,876	6.7%	$69,691	72.8%	$132,457	$131,585	0.7%	$125,702	5.4%	$120,416	10.0%
Prin. Payments on Cap leases	$3,243					$2,524	28.5%	$2,825					$3,243	(12.9)%
Guidance		**$115bn - $130bn for the Year**												
Free Cash Flow (FCF)	**$14,528**	$10,714	35.6%	**$14,568**	(0.3)%	**$43,585**	(66.7)%	**$24,520**	$19,466	26.0%	**$25,321**	(3.2)%	**$14,528**	68.8%
FCF Margins	5.7%	4.5%		6.1%	(41) bps	21.7%		8.3%	7.1%		9.1%	(82) bps	5.7%	

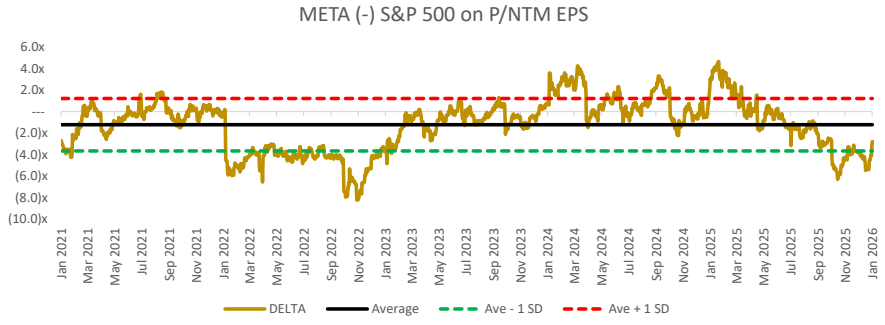
Source : Company documents; Bloomberg Finance LP; Deutsche Bank estimates

Figure 3: META versus S&P 500 Index Price-to-NTM Earnings



Source : Bloomberg LP; Deutsche Bank

Figure 4: The shares continue to trade at a significant discount to the S&P500 Index on Price-to-NTM Earnings



Source : Bloomberg Finance LP; Deutsche Bank

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
Meta	META.OQ	668.73 (USD) 28 Jan 2026	14, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/EquityResearchDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

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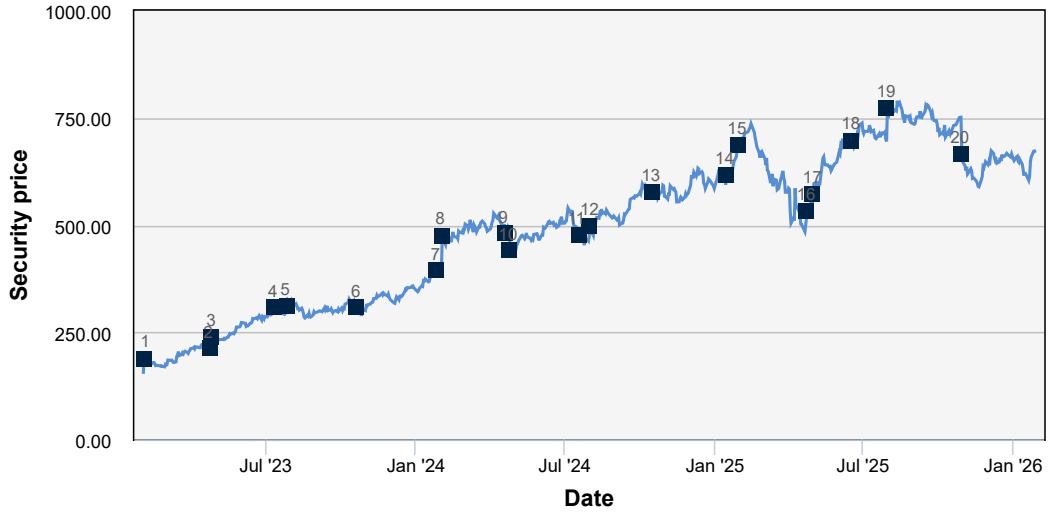
Historical recommendations and target price: Meta (META.OQ)

(as of 01/28/2026)



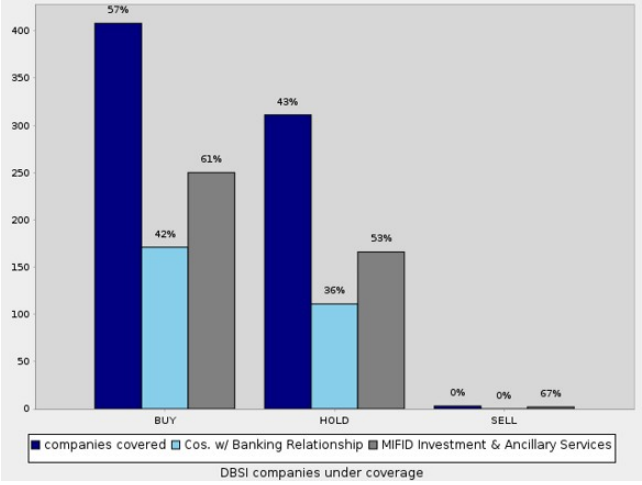
Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	02/02/2023	Buy, Target Price Change USD 200.00, Current Price USD 188.77 Benjamin Black, CFA
2.	04/24/2023	Buy, Target Price Change USD 260.00, Current Price USD 212.79 Benjamin Black, CFA
3.	04/27/2023	Buy, Target Price Change USD 290.00, Current Price USD 238.56 Benjamin Black, CFA
4.	07/12/2023	Buy, Target Price Change USD 350.00, Current Price USD 309.34 Benjamin Black, CFA
5.	07/27/2023	Buy, Target Price Change USD 380.00, Current Price USD 311.71 Benjamin Black, CFA
6.	10/20/2023	Buy, Target Price Change USD 385.00, Current Price USD 308.65 Benjamin Black, CFA
7.	01/26/2024	Buy, Target Price Change USD 450.00, Current Price USD 394.14 Benjamin Black, CFA
8.	02/02/2024	Buy, Target Price Change USD 525.00, Current Price USD 474.99 Benjamin Black, CFA
9.	04/19/2024	Buy, Target Price Change USD 540.00, Current Price USD 481.07 Benjamin Black, CFA
10.	04/25/2024	Buy, Target Price Change USD 500.00, Current Price USD 441.38 Benjamin Black, CFA
11.	07/18/2024	Buy, Target Price Change USD 525.00, Current Price USD 475.85 Benjamin Black, CFA
12.	08/01/2024	Buy, Target Price Change USD 585.00, Current Price USD 497.74 Benjamin Black, CFA
13.	10/17/2024	Buy, Target Price Change USD 650.00, Current Price USD 576.93 Benjamin Black, CFA
14.	01/15/2025	Buy, Target Price Change USD 705.00, Current Price USD 617.12 Benjamin Black, CFA
15.	01/30/2025	Buy, Target Price Change USD 800.00, Current Price USD 687.00 Benjamin Black, CFA
16.	04/24/2025	Buy, Target Price Change USD 650.00, Current Price USD 533.15 Benjamin Black, CFA
17.	05/01/2025	Buy, Target Price Change USD 670.00, Current Price USD 572.21 Benjamin Black, CFA
18.	06/17/2025	Buy, Target Price Change USD 770.00, Current Price USD 697.23 Benjamin Black, CFA
19.	07/31/2025	Buy, Target Price Change USD 930.00, Current Price USD 773.44 Benjamin Black, CFA
20.	10/30/2025	Buy, Target Price Change USD 880.00, Current Price USD 666.47 Benjamin Black, CFA

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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